



U.S. Bankruptcy Court, District of Minnesota

Rule 7067-1. Depositing in and Withdrawing Money from the Court Registry

- (a) **DEPOSITS.** To deposit money in the court registry, a party must file a motion to deposit funds in compliance with Local Rules 9013-1 and 9013-2. The moving party must also file concurrently with the motion a completed registry deposit form provided by the clerk. If the motion to deposit funds is granted, the clerk's office will provide instructions for depositing the funds.
- (b) **WITHDRAWALS.** To withdraw money from the court registry, a party must file a motion to withdraw funds in compliance with Local Rules 9013-1 and 9013-2. The moving party must also file concurrently with the motion to withdraw funds a completed registry withdrawal form provided by the clerk. If the motion to withdraw funds is granted, the clerk must not disburse money from the court registry until 14 days after the entry of the order, unless the court orders otherwise.
- (c) **ADMINISTRATION OF REGISTRY MONEY.** The clerk will administer money deposited in the court registry in accordance with 28 U.S.C. §§ 2041–2042 and 2045.
 - (1) The clerk will deposit all registry money in the Court Registry Investment System (CRIS) of the Administrative Office of the U.S. Courts. The clerk will deposit interpleader money in the CRIS Disputed Ownership Fund.
 - (2) The Director of the Office of the Administrative Office of the United States Courts is the custodian of CRIS funds and may assess fees based on the Bankruptcy Court Miscellaneous Fee Schedule; withhold and pay federal taxes on Disputed Ownership Funds; and distribute income from fund investments after assessing fees.
 - (3) The clerk must assess and deduct all applicable registry fees from the interest income earned and credited to the money on deposit in the fund before any disbursement of funds.
- (d) **UNCLAIMED FUNDS.** Subsections (a)–(b) of this rule do not apply to the deposit and withdrawal of unclaimed funds paid into the court registry under 11 U.S.C. § 347(a). Trustees may deposit unclaimed funds in the court registry in accordance with the clerk's instructions. Any party who seeks payment of unclaimed funds must file an application on the form provided by the clerk. A court order is required to approve any application for payment of unclaimed funds.

[Effective April 15, 1997. Amended effective January 1, 2002; September 4, 2024.]

2024 Advisory Committee Notes



U.S. Bankruptcy Court, District of Minnesota

Local Rule 7067-1 was amended to provide a process for parties to deposit in and withdraw money from the court registry. Except for unclaimed funds, as described in amended subsection (d), a motion must be filed to request that money be deposited in or withdrawn from the court registry. To deposit money, a moving party must also concurrently file with a motion to deposit funds a completed registry deposit form. This form is maintained by the clerk on the court's website at www.mnb.uscourts.gov. Please refer to the filing instructions on the court's website for how to properly file the registry deposit form. The information collected on the form is provided to determine the appropriate tax liability for the deposited funds. Interpleader funds deposited under 28 U.S.C. § 1335 meet the IRS definition of a "disputed ownership fund," a taxable entity that requires tax administration. *See also* 26 C.F.R. § 1.468B-9. Interpleader funds are deposited with the court by a non-owner, third-party for court determination of ownership.

To withdraw money from the court registry, a moving party must also concurrently file with a motion to withdraw money a completed registry withdrawal form. This form is maintained by the clerk on the court's website at www.mnb.uscourts.gov. Please refer to the filing instructions on the court's website for how to properly file the registry withdrawal form. To complete the registry withdrawal form, the filing party must submit a completed W-9 or AO213 (Vendor Information/TIN Certification) form. Because a completed registry withdrawal form must contain complete financial account information and other details, the form must be filed using the proper event so that the form is restricted from public access.

Funds on deposit with the court registry in the Court Registry Investment System (CRIS) are pooled with all funds on deposit with the Treasurer of the United States to purchase Government Account Series securities through the Bureau of Public Debt. An account is established in the CRIS Liquidity Fund titled in the name of the case giving rise to the deposit invested in the fund. Income generated from CRIS investments will be distributed to each case based on the ratio of each account's principal and earnings to the aggregate principal and earnings in the fund after CRIS fees have been applied. The CRIS fees are set forth in the Bankruptcy Court Miscellaneous Fee Schedule, which may be found at the website of the United States Courts at www.uscourts.gov. For each interpleader case, an account will be established in the CRIS Disputed Ownership Fund (DOF), titled in the name of the case giving rise to the deposit invested with the fund. Income generated from fund investments will be distributed to each case after the DOF fee has been applied and taxes are deducted.

Parties may obtain reports showing the interest earned, principal amounts contributed, and fees applied for all registry funds on deposit with the court by contacting clerk's office at 612-664-5200.

For unclaimed funds, the clerk's instructions and the appropriate form can be found on the court's website at www.mnb.uscourts.gov.